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Case Number: 24STCV27271 Hearing Date: July 31, 2026 Dept: 732

Jeffrey Aaron Cohen v. National Mortgage Resources, et al.

Friday, July 31, 2026

CASE NUMBER: 24STCV27271

OPPOSED

Cross-Defendant
National Mortgage Resources' Motion to Expunge Lis Pendens

Cross-Complainants
BV Industries, LLC, Sean Benaroya, Anna Vishnevsky, and Osip Vishnevsky's
Motion for Leave to File First Amened Cross-Complaint

Facts:

This is an action for interpleader and wrongful foreclosure. The Complaint alleges as follows. Plaintiff Jeffrey Aaron Cohen ("Plaintiff") agreed to serve as the escrow holder of a deed in lieu of foreclosure ("DIL") on certain real property pursuant to an agreement between Defendant lender National Mortgage Resources ("NMR") and Defendant borrowers BV Industries, LLC, Sean Benaroya, and Anna Vishnevsky ("Borrowers"). (Complaint ¶¶ 1–5.) NMR has demanded the release of the DIL to them pursuant to the agreement of the parties, and Borrowers have objected, arguing that NMR has breached the agreement. (Complaint ¶¶ 6–9.)

Borrowers' Cross-Complaint ("XC") alleges as follows. Borrowers entered into a loan agreement in 2021 with NMR in March 2021 for $6 million, secured by deeds of trust recorded on three properties: one on 61st Street in Los Angeles, one on Teton Way in Pine Mountain Club, CA, and one on Borrowers' residence on Hercules Drive in Los Angeles. (XC ¶¶ 16–23.) In March 2022 and 2023, the parties entered respectively into a modification then moratorium on the loan to permit Borrowers to sue the Los Angeles Department of Water and Power, who were preventing utility access to Borrowers' planned commercial property on 61st Street. (XC ¶¶ 25–26.) In August 2023, they entered into a Term Sheet Agreement whereby NMR agreed to provide six monthly payments in exchange for the release of the DIL on the 61st Street property to them at the end of the funding period. (XC ¶¶ 27–31.) NMR made only five of the six payments agreed, yet demand release of the DIL from Borrowers. (XC ¶¶ 27–36.)

NMR has interfered with Borrowers efforts to sell and find tenants for the 61st Street property. (XC ¶¶ 37–39.) And NMR has commenced foreclosure proceedings against Borrowers' residence, despite NMR being in default under the Term Sheet. (XC ¶¶ 40–43.)

Procedural History: Plaintiff filed the Complaint for interpleader on October 18, 2024.

Borrowers filed the Cross-Complaint on March 20, 2025, alleging seven causes of action:

1. Wrongful Foreclosure

2. Breach of Contract

3. Breach of Implied Covenant of Good Faith and Fair Dealing

4.

Breach of Fiduciary Duty

5.
Tortious Interference with Economic Advantage

6.
Unfair Business Practices

7.
Elder Abuse

On April 15, 2025, Judge Chalfant in Department 85 granted Borrowers' motion for preliminary injunction and directed that no foreclosure take place on Borrowers' Hercules Drive property. The court directed that Borrowers post an undertaking of $400,000 or agree to release the DIL for the 61st Street property.

The interpleader complaint was dismissed on May 19, 2025, evidently after Borrowers agreed that the DIL be released to NMR.

On November 26, 2025, this court granted Keith Turner of the Turner Law Firm, APC's motion to be relieved as counsel for Borrowers.

NMR filed the present motion to expunge lis pendens on February 10, 2026. Borrowers filed an opposition on March 26, 2026. NMR filed a reply on April 1, 2026.

Borrowers filed the present motion for leave to amend on March 24, 2026.NMR filed an opposition on April 3, 2026. Borrowers filed a reply on April 13, 2026.

On April 8, 2026, this court continued hearing on the motion and ordered supplemental briefing on the permissibility and effect of permitting a transfer of a deed in lieu of foreclosure on real property to serve as an undertaking securing an injunction under Code of Civil Procedure § 529, and the effect of the order of April 15, 2025 on title to the 61st Street Property.

On April 20, 2026, this court continued the hearing on the motion for leave to amend to permit the supplemental briefing mentioned above.

Analysis

I. VALIDITY AND EFFECT OF APRIL 15, 2025 ORDER

Both motions now before the court — Cross-Defendant National Mortgage Resources' ("NMR") motion to expunge lis pendens, and the motion for leave to amend cross-complaint filed by Cross-Complainants' BV Industries, LLC, Sean Benaroya, and Anna Vishnevsky (collectively "Borrowers") — raise conflicting interpretations concerning the purpose and effect of this court's April 15, 2025 order, which granted Borrowers' motion for preliminary injunction against a pending foreclosure on their property located on Hercules Drive in Los Angeles, the residence of Borrowers Benaroya and Vishnevsky.

That order stated as follows regarding the required bond: "Cross-complainants shall post a cash or corporate surety bond in the amount of $400,000 no later than 05/06/2025. Evidence of posting must be provided to opposing counsel. If cross-complainants release the deed in lieu, that Mr. Cohen is holding for recording, then no bond will need to be posted." (4/15/2025 Minute Order.)

After that order, Borrowers authorized the release of the Deed in Lieu of Foreclosure ("DIL")on real property located on 61st Street in Los Angeles ("61st Street Property"). Said DIL was initially interpleaded with this court by now-dismissed interpleader Plaintiff Jeffrey Allen Cohen ("Cohen"), and on May 9, 2025, Cohen dismissed his interpleader complaint. The DIL is now evidently in the possession of NMR. Borrowers have also recorded a notice of lis pendens on the property subject to the DIL.

NMR has filed a motion to expunge the lis pendens notice, arguing that the release of the DIL granted it the power to sell the property to secure itself against the injunction, which process has now been obstructed by Borrowers' filing of the lis pendens notice, all while Borrowers' Cross-Complaint asserts no claims seeking relief with respect to the DIL or the 61st Street property. (Lis Pendens Motion at pp. 6–8.) In the same motion, NMR contends that the DIL contains APN errors that also render it unmarketable, and thus asks this court to order Borrowers to issue a reformed DIL reflecting the correct information. (Lis Pendens Motion at p. 9.) NMR finally seeks an order for an additional undertaking, as the appraisal report submitted to support the value of the 61st Street property was based on the presence of an ongoing cannabis business, while no such business is in fact in operation, and the property's value is substantially less. (Lis Pendens Motion at pp. 10–11.)

Meanwhile, Borrowers have filed a motion for leave to amend their Cross-Complaint to assert claims seeking declaratory relief and quiet title with respect to the DIL and 61st Street property. The motion and proposed First Amended Cross-Complaint ("FAXC") reason that NMR's attempts to sell the property since the release of the DIL are in violation of the April 15, 2025 order, which contemplates only the temporary and conditional release of the DIL for the pendency of this litigation, and that a favorable judgment for Borrowers would require the DIL's return. (Motion to Amend at pp. 2–8.) The same arguments largely support Borrowers' opposition to NMR's motion to expunge, although Borrowers also argue that no reformation of the APN information in the DIL may be compelled, and that the value of the 61st Street Property is sufficient to cover the $400,000 bond ordered by the court as the alternative to the DIL's release. (Lis Pendens Opposition at pp. 6–13.)

The motions now before the court thus concern the interpretation and effect of the April 15, 2025 order permitting release of the DIL as an alternative to the posting of a $400,000 bond. NMR's motion seeks the expungement of a lis pendens notice on the 61st Street Property and other associated relief in order to render it marketable and sellable during the pendency of this action, and is thus premised on the contention that the release pursuant to the April 15, 2025 order conferred non-contingent title to NMR sufficient to permit its alienation to third-party purchasers. Conversely, Plaintiff seeks leave to plead claims on the DIL upon the opposite proposition — that the release was contingent, made only as security for the preliminary injunction, and that Borrowers' allegations with respect to its claims for wrongful foreclosure, breach of contract, and others

— embraced as a basis for the preliminary injunction — likewise support their allegations in the proposed FAXC that NMR is not entitled to the DIL.

Both motions thus require interpretation of the court's April 15, 2025 order, in order to determine the effect of the release contemplated by the court.

1.
The Meaning of the Order

The interpretation of a court order is a question of law. (See The Law Firm of Fox & Fox v. Chase Bank, N.A. (2023) 95 Cal.App.5th 182, 203.) "The same rules apply in ascertaining the meaning of a court order or judgment as in ascertaining the meaning of any other writing." (Ibid.)

The arguments presented by the parties, in their motions, opposing papers, and in their supplemental briefing provided upon this issue at the request of the court, support NMR's interpretation of the April 15, 2025 order — namely, that the order contemplated a transfer of the DIL without any implied contingent return or cancellation based on the ultimate outcome of the action.

As context for the April 15, 2025 order, Borrowers' Cros-Complaint, filed on March 20, 2025, alleges a claim for wrongful foreclosure on the Hercules Drive property, breach of contract based on NMR's failing to make the final Term Sheet payment, issuing a notice of default on the Hercules Drive property, attempting to foreclose thereon, and claims for damages related to NMR's alleged interference with Borrowers' efforts to market and sell the 61st Street property. (See XC ¶¶ 44–89.) However, the Cross-Complaint alleges no claim for relief with respect to possession of or title to the 61st Street Property.

As laid out in the court's April 15, 2025 decision, the DIL was created pursuant to an agreement of the parties over a course of transactions involving Borrowers' indebtedness to NMR, in which the 61st Street Property served as security, along with Borrowers' residence on Hercules Drive and another property on Teton Way in Pine Mountain Club, California. (4/15/2025

Decision at pp. 1–2.) After a series of agreements for additional funding or extensions, the parties executed a Term Sheet in which NMR agreed to provide a series of payments according to a schedule, whereupon Borrowers, who agreed to execute the DIL on the 61st Street property, would authorize the release of the DIL to NMR after the final scheduled payment. (4/15/2025 Decision at pp. 8–9.)[1] The court in its decision concluded that Borrowers had shown of likelihood of success on their claim that NMR never made the final scheduled payment, and that they had made a sufficient showing of entitlement to an injunction preventing a foreclosure on their Hercules Drive property residence. (4/15/2025 Decision.)

Addressing the issue of bond, the court stated as follows:

The purpose of a bond is to cover the defendant's damages from an improvidently issued injunction. CCP §529(a). In setting the bond, the court must assume that the preliminary injunction was wrongly issued. Abba Rubber Co. v. Seaquist, ("Abba") (1991) 235 Cal.App.3d 1, 15. The attorney's fees necessary to successfully procure a final decision dissolving the injunction also are damages that should be included in setting the bond. Id. at 15-16. While Abba reasoned that the plaintiff's likelihood of prevailing is irrelevant to setting the bond, a more recent case disagreed, stating that the greater the likelihood of the plaintiff prevailing, the less likely the preliminary injunction will have been wrongly issued, and that is a relevant factor for setting the bond. QOiye v. Fox, (2012) 211 Cal.App.4" 1036, 1062.

The parties do not address the issue of bond. NMR is owed more than $6 million. Cross-Complainants argue without evidence that the Loan is well secured by the value of the 61st Street Property. If that were true, the court wonders why Cross-Complainants do not stipulate to the recording of the DIL. Without further evidence or argument from Cross-Complainants, the bond could be substantial — e.g., the lost use of $6 million for two years while the case is pending plus the attorney fees necessary to set the injunction aside.

(4/15/2025 Decision at pp. 10–11.) The result of the hearing was the order that the bond be set at $400,000, and further, "If cross-complainants release the deed in lieu, that Mr. Cohen is holding for recording, then no bond will need to be posted." (4/15/Minute Order.)

From the above, it is apparent that the court's order of April 15, 2025 contemplated a release of the DIL to NMR, without any contingency for return if Borrowers prevailed upon their causes of action. The order of the court and its accompanying decision discussed a stipulation to the "recording of the DIL" and a "release [of] the deed in lieu that Mr. Cohen is holding for recording," and stated that if the Borrowers embraced the latter option, "no bond will need to be posted." (4/15/2025 Decision; 4/15/2025 Minute Order.) The court did not describe any contingent return, noted that the DIL was to be released "for recording" — indicating that its effect was not to be held in abeyance by the present action — and in referencing Cohen, implied that such a release would resolve the then-active interpleader complaint filed by him, regarding the status of the DIL, which complaint was, in fact, dismissed following the release. (See 5/19/2025 Dismissal.) Plaintiffs, meanwhile, alleged no claim to the DIL or the underlying property in their Cross-Complaint, and the court then had no reason to believe that they contemplated any affirmative relief on the DIL or 61st Street Property upon the favorable resolution of their claims, rather than damages and an injunction against foreclosure on their residence.[2]

This reading also makes sense of the underlying policy supporting the requirement of an undertaking. The requirement of an undertaking under Code of Civil Procedure § 529 is meant to "afford compensation to parties who are ultimately found to have been wrongly enjoined." (Stevenson v. City of Sacramento (2020) 55 Cal.App.5th 545, 551.) The undertaking order in this case gave NMR security in the form of the DIL to the 61St Street property without necessity of awaiting resolution of Cohen's interpleader complaint, based on Borrowers' contentions, addressed in the decision, that any damages suffered by NMR through delay of the foreclosure upon Borrowers' residence could be adequately secured by the value of the 61st Street property, upon which NMR also had a deed of trust. (4/15/2025 Decision at p. 11.)

Borrowers argue that the purposes of the undertaking requirement are better served by a contingent transfer than by the unconditional release that NMR proposes, because an injunction bond or undertaking is generally returned to the enjoining party if they prevail. (Borrowers Supp. Brief at pp. 7–8.) But this argument in fact supports NMR's position. While an undertaking or bond is ordinarily subject to return if the injunction it supports is ultimately maintained, the release here is not an undertaking or a bond. And as Borrowers note, "[t]he primary purpose of the security which the law requires of a party seeking a provisional or post-trial remedy is the protection of the adversary or another from financial loss," which purpose is served by the unconditional release contemplated in the April 15, 2025 order. (Associates Capital Services Corp. v. Security Pac. Nat. Bank (1979) 91 Cal.App.3d 819, 824.) The immediate release of the DIL in a manner that permitted NMR to market the property for sale serves this purpose.

Conversely,
Borrowers' interpretation of the April 15, 2025 order would not provide any security to NMR as the party to be enjoined. Borrowers' contemplated release of the DIL, only upon the condition that same would be returned if they ultimately prevailed, would provide no security or benefit to NMR against injunction-related damages — particularly when, at the time the order was made, the DIL was already interpleaded with the court, and was already subject to release upon the conclusion of the action to the party determined to be entitled thereto. NMR faced no risk that the DIL would be lost or compromised in some way during the pendency of the case such that its release to them upon a conditional basis afforded them any security. Indeed, Borrowers' proposed interpretation would likely compel a conclusion that the release was "insufficient" under Code of Civil Procedure § 529, subd. (a), thus requiring the order to be reconsidered and modified to post a different or augmented undertaking.[3]

Thus,
the court concludes that NMR's interpretation of the court's April 15, 2025 order is reasonable, and Borrowers' interpretation is unreasonable. The order contemplated a release of the DIL to NMR not subject to any contingency based on the outcome of the action.

2.
The Permissibility of the Order

The
clarity of the above conclusion, however, is clouded by case authority holding that an order permitting the creation or conveyance of an interest in real

property — whether permanent and unconditional or temporary and contingent — as a substitute for an undertaking or bond is beyond the authority of the court. It thus appears, as explained below, that the court's order permitting release of the DIL in substitute for an injunction bond was beyond its authority — regardless of whether the order is interpreted in the manner suggested by NMR or Borrowers.

The case Markley v. Superior Court (1992) 5 Cal.App.4th 738, is on point. As the opening paragraph states:

In this matter we are called upon to decide whether the trial court may, in lieu of requiring a bond or undertaking as a condition of denying a motion to expunge lis pendens, authorize the plaintiff to execute and file a deed of trust on real property, to indemnify defendant for all damages proximately resulting from the denial of expungement, should defendant ultimately prevail in this action. We conclude that such an alternative is not authorized by statute and that the trial court exceeded its powers in making such an order.

(Markley v. Superior Court (1992) 5 Cal.App.4th 738, 742.)

In that case, plaintiff Allen Samuels ("Samuels") brought suit against defendant Robert Markley and others ("Markley"), based on the contention that Markley purchased Samuels' property for a price obtained by false representations concerning its value, entitling Samuels to rescission of the sale agreement and the filing of a lis pendens on the property, which would prevent Markley from transferring the property in the meantime. (Markley, supra, 5 Cal.App.4th at p. 742–743.) Markley in turn filed a motion, seeking either expungement of the lis pendens notice or the posting of a bond to secure Markley against damages suffered by its recordation, per the then-operative Code of Civil Procedure § 409.1. (Id. at p. 743.) [4]

The trial court found that the likely damages from the lis pendens notice was about $2 million, and in response to Samuels' arguments that he could not afford the bond, noted that Samuels had title to other real property that could secure the amount owed. (Id. at p. 744.) The trial court reasoned that it had "the inherent authority to allow the property to serve in lieu of a cash bond," and "directed that this be accomplished by the execution of a first deed of trust on Samuels' other property in favor of the clerk of the superior court, as beneficiary." (Id. at p. 745.)

Samuels favored this arrangement, but Markley sought a writ of mandate from the appellate court, which held that the order for the creation of a deed of trust in lieu of a statutorily prescribed undertaking was beyond the lower court's authority. The appellate court described the applicable statutory language from former Code of Civil Procedure § 409.1: "[t]he court, as a condition of granting or denying the motion to expunge, may require that the party prevailing upon the motion give the other party an undertaking of the nature, and in the amount, as shall be fixed by the court." (Markley, supra, 5 Cal.App.4th at p. 745.) But the court held that the language permitting the court to prescribe the "nature" of the undertaking did not permit the creation of a deed of trust in lieu of an undertaking. (Ibid.)

The court noted that Code of Civil Procedure § 995.020 states: "The provisions of this chapter [i.e. the "Bond and Undertaking Law"] apply to a bond or undertaking executed, filed, posted, furnished, or otherwise given as security pursuant to any statute of this state, except to the extent the statute prescribes a different rule or is inconsistent." (Id. at pp. 745–746.) That chapter elsewhere defines "undertaking" as "a surety, indemnity, or like undertaking executed by the sureties alone," which differs from a "bond" only in "that an undertaking is executed by the sureties and not the principal." (Id. at p. 748, quoting Code Civ. Proc. §§ 995.140 ["bond"]; 995.190 ["undertaking"].) Applying these definitions, the court reasoned:

Thus, "undertaking" has a specific statutory definition, which in our view is not subject to substantial alteration by any power given to the trial court to delineate its "nature." Either a bond or an undertaking may be enforced against the surety by a civil action. (§ 996.340.) The resulting judgment may be collected from any assets, in the same manner as any other civil judgment for money. These protections and rights are absent in the case at bar, and the filing of a deed of trust is not the giving of an "undertaking."

(Id. at p. 747.)

Addressing the peculiar language of former Code of Civil Procedure § 409.1 the court reasoned:

[N]either the statutes nor logic suggest any reason why an undertaking required as a condition of expungement or non-expungement of a lis pendens should be subject to a looser definition than one required as an adjunct to the granting of a preliminary injunction (§ 529), to the issuance of letters testamentary or of administration (Prob. Code, § 8480), to obtain or release a prejudgment writ of attachment (§§ 489.210, 489.310), or to be permitted to proceed after one has been found to be a vexatious litigant (§ 391.3). A bond or undertaking is required for the purpose of protecting the opposing party should it be finally determined, after trial on the merits, that a restriction on one party's freedom of activity was improperly imposed or lifted and resulted in monetary damages. Section 409.1 is intended to provide monetary compensation for any damages which proximately result from the expungement, or non-expungement, of the lis pendens. (See Elder v. Carlisle Ins. Co. (1987) 193 Cal.App.3d 1313, 1319, 238 Cal.Rptr. 897.) An expeditious, legally unambiguous method of successfully enforcing such compensation is as necessary in this context as any other, and we will not presume that the Legislature intended to give any lesser protection to those on the losing end of a motion to expunge than to those otherwise entitled to require the other party to give an undertaking.

(Id. at pp. 747–748.)

When Samuels argued that it was “not reasonably possible for him to obtain a bond or undertaking as defined by statute,” the court stated that although this argument had “considerable force . . . we are bound by the terms of the statutes, and therefore reject it.” (Markley, supra, 5 Cal.app.4th at p. 753.) And when Samuels argued that Markley had waived all objections to the deed of trust, the court concluded that “[t]here was no waiver by Markley of their entitlement to an undertaking as prescribed by statute.” (Id. at p. 751.) Thus the court concluded that the court had “exceeded its authority” in directing the execution of the deed of trust in lieu of a statutory undertaking. (Id. at p. 752.)

Applying this authority here, it appears that the order of April 15, 2025, could not permit the release of the DIL as an alternative to the undertaking. The statue that requires an undertaking to secure preliminary injunctions is even narrower in its terms than the lis pendens statute addressed by the Markley court. It states, “the court or judge must require an undertaking on the part of the applicant to the effect that the applicant will pay to the party enjoined any damages, not exceeding an amount to be specified, the party may sustain by reason of the injunction, if the court finally decides that the applicant was not entitled to the injunction.” (Code Civ. Proc. § 529, subd. (a).) There is no language entitling the court to determine the “nature” of the undertaking, which the Markley court in any event found insufficient to authorize a deed of trust in lieu of a bond.

And while Markley addressed an undertaking issued pursuant to a lis pendens motion, rather than an injunction, the court’s ruling was based on statutory language concerning the authorized form and meaning of “undertaking” within the Bond and Undertaking Law, in statutes as applicable to an injunction bond as to one ordered pursuant to former Code of Civil Procedure § 409.1. (See Code Civ. Proc.§ 995.020; see also Code Civ. Proc. § 529, 1982 Law Revision Commission Comments [“Section 529 is amended for consistency with the Bond and Undertaking Law.”].) Thus, just as the court could not compel the deed in trust at issue in Markley to substitute for a traditional bond, the court here cannot impose the release of the DIL as satisfaction of the undertaking requirement of Code of Civil Procedure § 529.

NMR argues in its supplemental briefing that the DIL could serve as substitute security, even if not expressly authorized by Code of Civil Procedure § 529, then as an exercise of this court’s discretionary, equitable powers. (NMR Supp. Brief at pp. 4–6.) But while the court’s power to order injunctions is very much equitable and discretionary (See Olson v. Hornbrook Community Services Dist. (2021) 68 Cal.App.5th 260, 267), the requirement that each injunction be supported by an undertaking is “mandatory,” “statutorily required,” and “not discretionary.” (Abba Rubber Co. v. Seaquist (1991) 235 Cal.App.3d 1, 10.) Moreover, this argument takes little account of the Markley decision discussed above, which reversed a similar order, entered pursuant to the trial court's "inherent powers."

3.
The Salvageability of the Order

It
is arguable that insofar as the undertaking requirement is intended for the benefit of NMR, that it may waive the requirement of a monetary undertaking and accept the release of the DIL as sufficient security. It is true that "[a]ny one may waive the advantage of a law intended solely for their benefit." (Civ. Code, § 3513.) And it has accordingly been held that "the injunction bond requirement of section 529 can be waived or forfeited by the party to be enjoined." (Smith v. Adventist Health System/West (2010) 182 Cal.App.4th 729, 744.) Indeed, the court in Markley directed that the court's order regarding the deed in trust had to be reversed, in part on the grounds that the party to benefit from the undertaking had not invited the alternative form of security, and had not waived objections thereto. (Markley, supra, 5 Cal.app.4th at p. 751.)

This
raises the question, then, of whether the release of the DIL authorized by the April 15, 2025 order may be maintained as a stipulation of the parties for alternative security, based on NRM's power to waive the undertaking requirement. (See Greenly v. Cooper (1978) 77 Cal.App.3d 382, 385 ["[T]his [bond] requirement may be waived under circumstances where the parties stipulate to the injunction."].) This is how NMR occasionally characterizes the arrangement in its supplemental briefing. (NMR Supp. Brief at pp. 1–2, 8 [describing arrangement as "mutually-agreed upon"; stating Borrowers "voluntarily agreed to that election in exchange for preservation of their home"].)

And
from the above analysis concerning the intended effect of the court's ruling, it indeed appears that the parties, in effect, stipulated to a security arrangement whereby Borrowers would release the DIL to NMR without any contingency on the outcome of this litigation, and that NMR, in turn, agreed that "no bond will need to be posted." (See 4/15/2025 Minute Order.)

But
permitting the order to stand upon this basis would not afford NMR the relief that it seeks in its motion to expunge. This is because NMR does not merely

seek the expungement of the lis pendens, but also the court-ordered reformation of the DIL to correct what it characterizes as errors in the deed's APN information, which they contend requires that the DIL be "completely redrafted and executed by [Cross-Complainants] BVI and Mr. Benaroya" in order for the underlying property to be rendered marketable. (Miller Decl. ¶ 14.) Additionally, NMR argues that even the corrected DIL is insufficient, and that an additional undertaking in the amount of $1.8 million is required to secure it against injunction-related damages . (Lis Pendens Motion at pp. 9–12.)

These demands do not evidence a waiver consistent with the April 15, 2025 order, and this court cannot maintain the order as an agreement upon the terms that NMR advances. While NMR may be correct as to the errors in the APN information on the DIL, it does not follow that this court is empowered to correct these errors by summary reformation upon NMR's interim motion. The cases presented by NMR articulate only the court's equitable power to reform instruments where such relief is pleaded, tried, and awarded as judgment. (See Hanlon v. Western Loan & Bldg. Co. (1941) 46 Cal.App.2d 580, 599; Triple A Management Co., Inc. v. Frisone (1999) 69 Cal.App.4th 520, 524.) NMR presents no authority for the proposition that such relief may be ordered on a summary and interim basis, absent a pleaded cause of action therefore and an appropriate motion for summary relief (See Code Civ. Proc. § 437c) — particularly to effectuate injunction collateral that now appears to be beyond the court's statutory power to grant.

And insofar as any agreement exists, it necessarily includes the term that the release of the DIL means "no bond will need to be posted." (4/15/2025 Minute Order.) Yet this is not the agreement that NRM advances in its motion to expunge, in which it states that the property subject to the DIL is not worth as much as advertised, and therefore that additional bond is required. (Motion at pp. 11–12.) It is indeed true that an enjoined party is ordinarily "free to seek an increase in the amount of the bond if he can demonstrate "that the amount of [his] damages may exceed the bond" (Oiye v. Fox (2012) 211 Cal.App.4th 1036, 1062), But NMR's entitlement to the DIL necessarily depends upon the conclusion that it has waived the ordinary protections of the bond requirement under Code of Civil Procedure § 529, in favor of immediate and non-contingent release of the DIL.

If NMR has a summary

remedy for the failure of the deed or property to conform to the parties' stipulation, it is not to keep the DIL, seek its interim reformation on an irregular motion, and demand the addition of a $1.8 million bond. Rather, NMR may bring a motion to vacate or reconsider the order based upon that stipulation (See, e.g., Code Civ. Proc. § 473, subd. (b) [authorizing relief from orders based on "mistake, inadvertence, surprise, or excusable neglect."]), return the DIL, and set an undertaking pursuant to Code of Civil Procedure § 529. (Cf. Reed v. Gallagher (2016) 248 Cal.App.4th 841, 860 ["The consequence of rescission is ... the restoration of the parties to their former positions by requiring each to return whatever consideration has been received."].)

It thus appears that, if the release of the DIL as a substitute for an undertaking is to be upheld as a stipulation of the parties, pursuant to NMR's "intentional relinquishment" of the right to a monetary undertaking (Smith v. Adventist Health System/West (2010) 182 Cal.App.4th 729, 745), and Borrowers' agreement thereto, as manifested by their release of the DIL pursuant to the court's April 15, 2025 order, that agreement would be pursuant to the following terms:

1. Borrowers' "release the deed in lieu," not conditional upon the outcome of this action or this court's reformation of the deed; and

2. "[N]o bond will need to be posted," including the request for additional undertaking sought in NRM's motion to expunge.

NRM has indicated in its motion to expunge that its acceptance of the DIL has not dampened its desire for additional undertaking, or that it would even desire to have the lis pendens notice expunged without a concurrent reformation of the DIL, without which it contends the property is unmarketable. As such, it is difficult to conclude that any waiver of the right to a monetary undertaking has occurred, such as would render the April 15, 2025 order in conformity with the law.

4. Reconsideration of the Order

From
the above analysis, and absent any intervening stipulation by the parties, reconsideration of the April 15, 2025 order is warranted, insofar as it permitted the release of the DIL to substitute for an undertaking or bond. “[A] trial court has the ability, “on its own motion, to reconsider its prior interim orders so it may correct its own errors.” (Young v. Tri-City Healthcare Dist. (2012) 210 Cal.App.4th 35, 48.) Sua sponte reconsideration is permissible “as long as [the court] gives the parties notice that it may do so and a reasonable opportunity to litigate the question.” (Le Francois v. Goel (2005) 35 Cal.4th 1094, 1097.)

Accordingly,
the court sets a hearing on its own motion for reconsideration of the April 15, 2025 order, specifically as to the provision permitting Borrowers to release the DIL in satisfaction of their statutory undertaking requirement. The motion to expunge lis pendens and motion for leave to amend are CONTINUED to be heard alongside this motion for reconsideration.

In
its motion, the court proposes that the provision of the April. 15, 2025 order permitting Borrowers to release the DIL in satisfaction of their statutory undertaking requirement was in excess of the authority conferred by Code of Civil Procedure § 529. As such, it is proposed that the DIL previously released shall be deposited with the court pursuant to Code of Civil Procedure § 572.[5] Concurrently, the injunction bond shall be set at the amount of $400,000.00 pursuant to the court’s April 15, 2025 order.

Superior Court of California

County of Los Angeles

Department 732

JEFFREY
AARON COHEN,

Plaintiffs

v.

NATIONAL MORTGAGE RESOURCES, et al.,

Defendants.

Case No.: 24STCV27271

Hearing Date: July 31, 2026

[TENTATIVE] RULING RE:

Cross-Defendant National Mortgage Resources’ Motion to Expunge Lis Pendens

Cross-Complainants BV Industries, LLC, Sean Benaroya, Anna Vishnevsky, and Osip Vishnevsky’s Motion for Leave to File First AmenedED Cross-Complaint

Cross-Defendant National Mortgage Resources’ Motion to Expunge Lis Pendens and Cross-Complainants BV Industries, LLC, Sean Benaroya, Anna Vishnevsky, and Osip Vishnevsky’s Motion for Leave to File First Amened Cross-Complaint are CONTINUED to be heard concurrently with this court’s own motion for reconsideration of the April 15, 2025 order, specifically of the provision permitting Borrowers to release the DIL in satisfaction of their statutory undertaking requirement.

Cross-Defendant to give notice.

Dated: July 31, 2026

____

Hon. Richard S. Kemalyan

Judge of the Superior Court

[1]
"A deed given by the trustor to the beneficiary to avoid the inconveniences suffered on both sides by a formal foreclosure is often called a 'deed in lieu of foreclosure' or a 'deed in lieu.' The deed in lieu of foreclosure may be advantageous to both parties by, for example, allowing the beneficiary to avoid[ ] the delays and costs of foreclosure and saving the trustor to some extent from the embarrassment and impaired credit rating a public foreclosure sale produces. The Restatement Third of Property, Mortgages (Restatement Third) describes this transaction as a "commonly used and socially desirable foreclosure substitute." (Decon Group, Inc. v. Prudential Mortgage Capital Co., LLC (2014) 227 Cal.App.4th 665, 670, internal quotation marks and citations omitted.)

[2]
The body of the email in which Borrowers' counsel authorized the release of the DIL stated as follows:

Judge Chalfant's
Order provides that if my clients release the deed in lieu ("DIL" regarding the Industrial Property, that Mr. Cohen is holding for recording, then no bond will need to be posted to continue to enjoin foreclosing my clients' home, 2101 Hercules Drive, Los Angeles, California 90046 ("Hercules Drive Property").

Accordingly, my
clients instruct Mr. Cohen to release the DIL.

This will
further confirm that this is subject to my clients' right to continue prosecuting their damages claims against NMR and Miller.

(Winthrop Decl. Exh. 3.) It thus appears that the
Borrowers released the DIL with no reservation of rights except as to the continued prosecution of their claims for damages.

[3]
Borrowers' failure to describe any security that their proposed order affords to NMR comes despite this court's specific articulation of its concern on this point in its order for supplemental briefing. (See 4/8/2025 Order at p. 6.)

[4]
Code of Civil Procedure § 409.1 has been repealed. Its successor statute, enacted in 1992, is codified as Code of Civil Procedure § 405.34. (See West's Ann. Code Civ. Proc., § 405.34, Editors' Notes.)

[5]
"When it is admitted by the pleadings, or shown upon the examination of a party to the action, that he or she has in his or her possession, or under his or her control, any money or other thing capable of delivery, which, being the subject of litigation, is held by him or her as trustee for another party, or which belongs or which is due to another party or which should, under the circumstances of the case be held by the court pending final disposition of the action, the court may order the same, upon motion, to be deposited in court or delivered to such party, upon those conditions that may be just, subject to the further direction of the court." (Code Civ. Proc. § 572.)